IAG / RACI - Formal commitments offer – 13 October 2026

This is a formal offer by the Parties to provide an undertaking pursuant to s 87B of the CCA.

The undertaking would operate for 10 years and contains a package of commitments directed towards addressing potential ACCC competition concerns and securing key public benefits arising from the Proposed Transaction. The key commitments include:

(a) **Divestiture**: IAG must divest to an ACCC-approved purchaser the renewal rights in respect of the active NRMA home and motor insurance book in Western Australia and, at the option of the purchaser, the SGIO brand.

(b) **Competitive outcomes**: IAG must comply with key competitiveness, benchmarking, pricing consultation and termination provisions in the Distribution Agreement. As an enhancement since the ACCC's Phase 2 review, certain key termination rights relating to competitiveness and RAC brand protection will be brought forward from eight years to three years after commencement of the Distribution Agreement. For the term of the undertaking, IAG cannot amend those protections without ACCC approval, and any amendment must also be made in accordance with the Distribution Agreement, which cannot be amended unilaterally by IAG. Thereafter those provisions, as with all provisions in the Distribution Agreement, may only be amended by agreement between the parties to the Distribution Agreement**.**

(c) **Smash repairer access and conduct**: IAG must not impose exclusivity, preferential dealing or other restrictions that could limit competing insurers' access to specified regional WA smash repairers. IAG must also comply with the Motor Vehicle Insurance and Repair Industry Code of Conduct in its dealings with smash repairers in Western Australia.

(d) **Minimum service standards**: In addition to the protections contained in the Distribution Agreement, IAG must maintain a Western Australian contact centre and use reasonable endeavours to maintain claims service standards for RAC-branded motor and home insurance in Western Australia.

(e) **Expanded insurance availability**: IAG must make RAC-branded home and contents insurance available for eligible homes located north of the 26th parallel in mainland Western Australia within 12 months after completion of the Proposed Transaction and maintain that offering for the term of the undertaking.

(f) **Western Australian Community Fund**: IAG must establish and fund a dedicated Western Australian Community Fund supporting road safety, community resilience, skills development, electric vehicle initiatives and other community programs in Western Australia.

(g) **Compliance and oversight**: IAG must appoint a Compliance Officer and an ACCC-approved independent auditor to monitor compliance with the undertaking and provide regular reporting and audit oversight to the ACCC.